

However, even though the loan term might be multiple years, a portion of the loan should be included in current liabilities (e.g., the portion of the loan due this year). Each year, a business will prepare a journal entry to re-categorize a portion of the long-term debt into the current liabilities section of the balance sheet.

For example, if we borrow \$10,000 for a computer system and finance it over five years, the journal entry might look like the following:

	Account #	Description	Debit	Credit
	1500	Computer System	\$10,000	
	2100	Accounts Payable-Current		\$2,000
	2600	Long-term Loan Payable		\$8,000

Moving some of the long-term debt into current liabilities gives a company a better understanding of cash needs and whether or not current assets can keep the company on top of its bills.

Equity

The Equity section generally consists of two categories; one is the owner's contributions into the business and the second is the retained earnings (i.e., the accumulated earnings over the life of the company).

For a sole proprietorship, there is typically a single-owner equity account and, often, a drawing account associated with it (for when the owner withdraws money from the business). A partnership will be similar, with multiple-owner equity accounts for each partner within the business.

Corporations have more entries, using Stockholder Equity instead of an individual's equity account. The Stockholder Equity account includes Paid-in Capital, Treasury Stock, and Retained Earnings.

Paid-in Capital

Paid-in capital is the amount paid for all stockholders to acquire shares of the company's stock. This account is often broken down further by class of stock (e.g., preferred versus common stock). Paid-in capital has two components; the first is the actual par or face value of the stock. Most companies have low face values of stock. However, to actually acquire the stock, the purchasers have paid over the par value and this is recorded separately in the equity section.